

conversion, when you are not working. Because earned income is low when doing the Roth conversion, taxes are paid at rates as low as 0 percent for money below the limit of the standard deduction. This money is then rolled into a Roth IRA account where it again can grow tax-free until the money is withdrawn tax-free. This “Roth Conversion Ladder” can be optimized step by step over the years by an early retiree. This allows complete elimination of taxation of this money.

Other techniques described by *Go Curry Cracker* include harvesting capital losses and harvesting capital gains in taxable investment accounts. These counterintuitive techniques can also be leveraged on the more basic ideas described earlier.

Tax loss harvesting is a commonly known tactic that many in the FI community take advantage of. It is utilized when you want to lower taxable income in a given year by purposefully realizing investment losses in taxable accounts. When markets go down, you sell off investments in taxable accounts. This goes against conventional wisdom that says buy low and sell high. You want to sell low in this instance because you will then buy a similar investment immediately. Thus, you stay invested and experience the investment upside when markets go back up, but you’ve locked in a